18. Income Taxes

The (benefit) provision for income taxes consists of the following:

	Successor		Predecessor	
	Year Ended September 2007	Period From June 30 Through September 30 2006	Period From October 1 Through June 29 2006	Year Ended September 2005
Current:				
Federal	$ 2,297	$ (7)	$ (7,086)	$ 3,481
State	2,389	211	840	1,934
Total current taxes payable (benefit)	4,686	204	(6,246)	5,415
Net deferred tax (benefit) expense	(5,169)	(2,426)	(5,101)	4,855
Income tax (benefit) provision	$ (483)	$ (2,222)	$ (11,347)	$ 10,270

The Company (was refunded) paid income taxes during the year ended September 30, 2007, the periods June 30, 2006 through September 30, 2006 and October 1, 2005 through June 29, 2006 and for the year ended September 30, 2005 of $(7.4) million, $(1.9) million, $3.3 million and $3.4 million, respectively. The Company has received approximately $10.4 million; $1.5 million by September 30, 2006 and $8.9 million by September 30, 2007, from the federal government due to a carryback of the net operating loss for the period from October 1, 2005 through June 29, 2006.

Deferred income taxes reflect the net tax effects of temporary differences between the carrying amount of the assets and liabilities for financial reporting purposes and the amounts used for income

tax purposes. Significant components of the Company's deferred tax assets and liabilities at September 30 are as follows:

	Successor	
	September 30	
	2007	2006
Gross deferred tax assets:		
Deferred compensation	$ 971	$ 919
Interest rate swap agreements	1,651	743
Accrued workers' compensation	5,928	4,708
Net operating loss carryforwards	4,755	8,439
Allowance for bad debts	1,829	1,038
Capital loss carryforward	96	96
Alternative minimum tax credit	—	456
Other	1,212	—
	16,442	16,399
Valuation reserve	(4,169)	(3,181)
Deferred tax assets	12,273	13,218
Deferred tax liabilities:		
Depreciation	(11,274)	(12,576)
Amortization of goodwill and intangible assets	(116,658)	(124,862)
Other accrued liabilities	(3,036)	(646)
Net deferred tax liabilities	$ (118,695)	$ (124,866)

SFAS 109 requires a valuation allowance to reduce the deferred tax assets recorded if, based on the weight of the evidence, it is more likely than not that some portion or all of the deferred tax assets will not be realized. After consideration of all the evidence, both positive and negative, management has determined that a $4.2 million and $3.2 million valuation allowance at September 30, 2007 and 2006, respectively, is necessary to reduce the deferred tax assets to the amount that will more likely than not be realized. The valuation allowance primarily relates to certain state net operating loss carryforwards. At September 30, 2007 and 2006, the Company has net operating loss carryforwards of approximately $1.4 million and $22.2 million, respectively, for federal purposes, which expire from 2026 through 2027, and $85.1 million and $62.9 million, respectively, for state income tax purposes, which expire from 2007 through 2027.

The following is a reconciliation between the statutory and effective income tax rates:

	Successor		Predecessor	
	Year Ended September 30 2007	Period From June 30 Through September 30 2006	Period From October 1 Through June 29 2006	Year Ended September 30 2005
Federal income tax at statutory rate	35.0%	35.0%	35.0%	35.0%
State income taxes, net of federal tax benefit	(7.6)	2.7	(0.1)	7.9
Nondeductible comp	(10.0)	—	(.5)	—
Other nondeductible expenses	(4.7)	(1.0)	(7.8)	0.5
Credits	—	—	—	(0.3)
Other	3.5	1.1	(0.3)	(0.8)
Effective tax rate	16.2%	37.8%	26.3%	42.3%